

KAKUZI PLC
INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2025
(UNAUDITED)

TABLE OF CONTENTS	PAGE
Chairman's statement	2 – 5
Consolidated and separate statement of profit or loss and other comprehensive income	6
Consolidated statement of financial position	7
Separate statement of financial position	8
Consolidated statement of changes in equity	9
Separate statement of changes in equity	10
Consolidated and separate statement of cash flows	11
Notes to the consolidated and separate interim financial statements	12 – 19

Directors:

Mr. N Ng'ang'a Chairman
 Mr. C J Flowers* Managing Director
 Mr. G H Mclean*
 Mr. K R Shah
 Mr. D M Ndonge
 Mr. S N Waruhiu
 Mr. A N Njoroge
 Dr. J K Kimani
 Mrs. P Ager
 * British

Registrars:

Custody & Registrars Services Limited
 IKM Place
 Tower B, 1st Floor
 5th Ngong Avenue
 P. O. Box 8484, Nairobi 00100
 Telephone: (020) 7608216
 Email: info@candrgroup.co.ke

Secretary:

John L G Maonga
 Maonga Ndonge Associates
 P. O. Box 73248
 00200 NAIROBI
 Telephone (020) 2149923

Registered Office:

Main Office
 Punda Milia Road, Makuyu
 P. O. Box 24, Thika 01000
 Telephone: (060) 2033012
 E-mail: mail@kakuzi.co.ke

Key Highlights

- The global **avocado** markets are well supplied. The half-year profit closed at Ksh 395 million compared to a half year profit of Ksh 951 million posted in 2024, primarily because of a lower crop valuation in 2025.
- The global **macadamia** market continues to show further gains, recording a half-year profit of Ksh 319 million compared to Ksh 32 million posted for the same period last year.
- Our **blueberry** production has increased in line with expectation. This business venture is now profitable recording a half year profit of Ksh 13 million compared to a Ksh 17 million loss for the same period last year.
- Our **tea** business recorded a half year loss of Ksh 27.5 million compared to a loss of Ksh 3.5 million last year, due to lower prices achieved.

Trading Performance

The year-to-date trading in our two core crops is in line with expectation. The international avocado market has been well supplied, with price levels reflecting this situation. Last year, the markets were undersupplied during the same period with a corresponding higher price. To date, Kakuzi has exported its first Pinkerton crop, early-season Hass and began its main Hass export in June. In total, 165 containers (801,840 cartons) of avocados have been exported primarily to European markets, which are also receiving fruit from Peru, South Africa and Columbia.

The earlier experienced shipping route challenges are also beginning to stabilize with an increasing number of voyages returning to the Red Sea routing.

The macadamia market is buoyant and exhibiting strong demand. Pricing has reflected this sentiment with further gains over the period, compared to last year. The half-year profits for macadamia have significantly improved, with 50% of the anticipated production already committed for sale.

Our value-added diversification strategy is also bearing fruit, with the demand for our range of retail consumer products continuing to grow. The production of cold-pressed macadamia oil has increased, with the product proving to be very popular along with our range of ready-to-eat roasted and coated quality macadamia nuts.

Our blueberry division has posted a half-year profit as its production volumes meets our expectations. We continue to observe increasing demand for quality blueberries, both domestically and in our key export destinations.

The Kakuzi range of sustainable forestry products remain in high demand. However, profits this half-year are lower than for the same period last year. The performance is attributable to the prevailing national economic environment, including the general building and construction slowdown.

Dividend

The Directors do not recommend the payment of an interim Dividend.

Overview & Operations

We have experienced seasonally normal weather conditions during the first half of the year, and the irrigation dams were all filled by the plentiful rainwaters drawn from our water catchment conservation areas. In late 2024, we completed the water holding capacity enhancement project aimed at expanding our irrigation storage by a further 1 million cubic meters at our main reservoir (Nginye dam). This project is strategically important to the Company as it helps to mitigate the impacts of climate change in future years and builds our sustainability credentials and opportunities.

Importantly, this year we have observed a stable currency and more reliable shipping into our main European export markets.

Avocados

Global supply into our main European markets has returned to normal levels. Peruvian volumes again dominate this market. As at the end of June, Peruvian arrivals into Europe were up some 30% on last year. Total supply into Europe is up some 17% over the previous two years. Whilst this is impacting prices, the market demand continues to grow, effectively absorbing the supply.

Demand for avocados in China and India is increasing, but is still not at a scale to replace the traditional market demand in Europe. As we stated last year, with growing production in Kenya, obtaining access to North American markets must be a priority for the Country. The North American market provides an opportunity to grow revenues and operating margins with a lower cost of sale for quality produce.

During the first half of the year, our shipping service providers sent limited vessels through the Red Sea. Challenges remain but are showing signs of stabilization. Returning to shorter transit times of 4 to 5 weeks, down from 6 to 7 weeks is key to managing the quality of avocados arriving in our export markets.

We began the 2025 exports with our green skin variety, Pinkerton. This variety produces two crops a year, with 74 containers exported so far. Further export production is anticipated in the 4th quarter. In early June, Hass exports commenced and will continue until early September. Our early season Hass variety, Carmen, also enjoys two fruitful seasons with 17 containers exported to Europe, India and China to date, and further exports anticipated in the 4th quarter.

Macadamia

Our young orchards continue to mature and we now have 1,404 ha of macadamia plantings. By the end of June, we had completed the first season's harvest, which is traditionally 50% of the total annual crop.

Phasing sales and production is essential, to avoid over commitment of crop before it is available as processed kernel. Consequently, we have contracted 50% of the annual crop, some 450 tons at average price c. US\$ 12 per kilo (vs US\$ 9 per Kilo in the same period last year). The balance of the crop will be sold as the year progresses and demand remains high. It is encouraging to note that selling prices continue to increase, trending up 30% from this time last year.

The impact of tariffs in the USA is naturally a concern to our operations, as this is a key market. Our marketing agents are in continuous communication with our customers to mitigate any risks which this may pose to the business.

Macadamia (continued)

Demand for our cold-pressed macadamia oil alongside our ready-to-eat snack range is exceptionally high. We are exploring how we can increase our market footprint whilst still preserving margins.

Blueberry

Our blueberry production is encouraging and has begun to positively contribute to our superfoods production strategy, complementing existing macadamia and avocado production. As of June, we have produced 42,000 kg, this year up from 8,400 kg this time last year. We anticipate that production will meet our annual field production and business revenue projections.

The market demand both domestically and in our key international markets remains strong, with prices exceeding expectations. This performance indicates that there is a good potential for further investments, in line with the Board's commitment for further diversification.

Other Products

The Farm Market and Boran Barn restaurant are a well-known convenient stopover point for travelers along the north-south highway stretching from Nairobi to the Ethiopian border at Moyale. Approximately 70% of our beef production is sold through these outlets, providing quality beef with farm-to-fork credentials to our discerning customers.

The tea industry continues to suffer from overproduction, and we are beginning to see the fallout of this as some producers close their operations. Demand for tea is finite, and until Kenyan production levels rebalance in line with the market, we anticipate prices to remain subdued.

Community, Company Partnerships

We will be publishing our sixth ESG report within the next few months, which provides a detailed overview of the work we continue to undertake in this critical area.

We continue our commitment to Environmental, Social and Governance Principles. Sustainability and regenerative agriculture practices remain at the heart of our ESG journey, and our goal has been to protect the planet, serve our communities, and meet customer demands by delivering quality products grown in the heart of Kenyan soils.

In 2024, we continued to strengthen our governance mechanisms by consistently interacting with our regulators to foster a positive relationship and meet current regulatory expectations. We therefore reaffirm our commitment to upholding the interests of all our stakeholders through continuous innovation, progressively and prudently, to create shareholder value.

Our focus remains that being a good corporate citizen is not only the right thing to do but fundamentally is part of our DNA.

Strategic Goals & Developments

The Board remains committed to continuing to diversify the Company and maintain its focus on responsible business. Our operating mandate is firmly rooted in a human rights-based approach focused on meaningful stakeholder engagement grounded in the United Nations Guiding Principles on Business and Human Rights (UNGPs).

Further enhancing our shared value model is a key objective for the Company, and we are actively improving our stakeholder relations. We recognize that the Company operates in a broader ecosystem where expectations by some stakeholders will be different to our business objectives.

We continue to maintain an internationally benchmarked independent Operational Grievance Mechanism (OGM) – "SIKIKI" – as per the UNGPs global standards for mitigating and addressing human rights abuses by businesses and companies. All our internal and external stakeholders are encouraged to utilize SIKIKA to seek remedy to their grievances.

In turn, as a responsible corporate citizen, we also expect that our stakeholders will operate within the rule of law. In recent days, we have been faced with regrettable land invasion cases. The actions have occasioned massive environmental damage and raised security tensions among the local community. We are, however, pursuing legal remedies and redress available to us, to secure shareholder rights and avoid attempts to expropriate or erode the value of our shareholder assets.

We continue to believe that our purpose is to derive long-term value from all our assets for shareholders and stakeholders at large. Our economy requires large and small players alike at the macro and micro levels; it requires job creation, and it needs foreign exchange (Forex) earnings.

Our business growth and diversification plans are firmly anchored on positively contributing to the development and promotion of our County and Country.

NICHOLAS NG'ANG'A
CHAIRMAN

19th August 2025

Consolidated and separate statement of profit or loss and comprehensive income

	Notes	6 Months to 30 June 2025 Shs'000	6 Months to 30 June 2024 Shs'000
Sales	3	1,511,260	1,175,166
Gain arising from changes in fair value less cost to sell of non-current biological assets	10(i)	25,579	21,509
		1,536,839	1,196,675
Cost of sales		(882,512)	(439,934)
Gross profit		654,327	756,741
Other income/(losses)	4	8,374	(173,342)
Selling and Distribution costs	3	(265,852)	(115,434)
Operating profit		396,849	467,965
Interest income	5	38,456	39,160
Finance costs	5	(60)	(33)
Profit before income tax		435,245	507,092
Income tax expense	6	(139,707)	(159,581)
Profit for the period		295,538	347,511
Other comprehensive income		-	-
Total comprehensive income		295,538	347,511
		Shs	Shs
Earnings per share:			
Basic and diluted earnings per ordinary share	7	15.08	17.73

The notes on pages 12 to 19 are an integral part of these consolidated and separate interim financial statements.

Consolidated statement of financial position

		30 June 2025	30 June 2024	Audited 31 December 2024
	Notes	Shs'000	Shs'000	Shs'000
EQUITY				
Share capital		98,000	98,000	98,000
Other reserves		36,251	34,929	36,251
Retained earnings		5,337,797	5,678,264	5,042,259
Proposed dividend		-	-	156,800
Total equity		5,472,048	5,811,193	5,333,310
Non-current liabilities				
Deferred income tax		1,136,879	1,122,163	1,115,532
Post-employment benefit obligations		166,295	122,232	151,744
Lease obligations		687	279	688
		1,303,861	1,244,674	1,267,964
Total equity and non-current liabilities		6,775,909	7,055,867	6,601,274
REPRESENTED BY				
Non-current assets				
Property, plant and equipment	9	2,894,994	3,007,491	2,981,247
Biological assets	10(i)	1,102,888	922,760	1,118,962
Right of use assets		4,001	4,137	4,099
Non-current receivables		53,081	51,703	53,434
		4,054,964	3,986,091	4,157,742
Current assets				
Biological assets – growing agricultural produce	10(ii)	967,692	1,359,071	539,272
Inventories		817,760	1,406,974	369,464
Receivables and prepayments		457,671	590,395	661,105
Current tax recoverable		-	-	81,374
Financial assets held at amortised cost	12	-	100,000	-
Cash and cash equivalents	11	890,293	130,377	1,106,684
		3,133,416	3,586,817	2,757,899
Current liabilities				
Payables and accrued expenses		368,605	318,314	301,029
Current tax payable		30,528	148,949	-
Lease obligations		55	281	55
Post-employment benefit obligations		13,283	49,497	13,283
		412,471	517,041	314,367
Net current assets		2,720,945	3,069,776	2,443,532
		6,775,909	7,055,867	6,601,274

The notes on pages 12 to 19 are an integral part of these consolidated and separate interim financial statements.

Separate statement of financial position

		30 June 2025	30 June 2024	Audited 31 December 2024
	Notes	Shs'000	Shs'000	Shs'000
EQUITY				
Share capital		98,000	98,000	98,000
Other reserves		36,251	34,929	36,251
Retained earnings		5,333,656	5,674,123	5,038,118
Proposed dividend		-	-	156,800
Total equity		5,467,907	5,807,052	5,329,169
Non-current liabilities				
Deferred income tax		1,136,879	1,122,163	1,115,532
Post-employment benefit obligations		166,295	122,232	151,744
Lease obligations		687	279	688
		1,303,861	1,244,674	1,267,964
Total equity and non-current liabilities		6,771,768	7,051,726	6,597,133
REPRESENTED BY				
Non-current assets				
Property, plant and equipment	9	2,894,994	3,007,491	2,981,247
Biological assets	10(i)	1,102,888	922,760	1,118,962
Right of use assets		4,001	4,137	4,099
Investments in subsidiaries		4,295	4,295	4,295
Non-current receivables		53,081	51,703	53,434
		4,059,259	3,990,386	4,162,037
Current assets				
Biological assets – growing agricultural produce	10(ii)	967,692	1,359,071	539,272
Inventories		817,760	1,406,974	369,464
Receivables and prepayments		457,671	590,395	661,105
Current tax recoverable		-	-	81,321
Financial assets held at amortised cost	12	-	100,000	-
Cash and cash equivalents	11	890,293	130,377	1,106,684
		3,133,416	3,586,817	2,757,846
Current liabilities				
Payables and accrued expenses		376,988	326,697	309,412
Current tax payable		30,581	149,002	-
Lease obligations		55	281	55
Post-employment benefit obligations		13,283	49,497	13,283
		420,907	525,477	322,750
Net current assets		2,712,509	3,061,340	2,435,096
		6,771,768	7,051,726	6,597,133

The notes on pages 12 to 19 are an integral part of these consolidated and separate interim financial statements.

Consolidated statement of changes in equity

	Share capital Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total equity Shs'000
Period ended 30 June 2025					
At start of year	98,000	36,251	5,042,259	156,800	5,333,310
Total comprehensive income for the period:					
Profit for the period	-	-	295,538	-	295,538
Total	-	-	295,538	-	295,538
Transactions with owners:					
Dividends:					
- Final for 2024	-	-	-	(156,800)	(156,800)
	-	-	-	(156,800)	(156,800)
At end of period	98,000	36,251	5,337,797	-	5,472,048

	Share capital Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total equity Shs'000
Period ended 30 June 2024					
At start of year	98,000	34,929	5,330,753	470,400	5,934,082
Total comprehensive income for the period:					
Profit for the period	-	-	347,511	-	347,511
Total	-	-	347,511	-	347,511
Transactions with owners:					
Dividends:					
- Final for 2023	-	-	-	(470,400)	(470,400)
	-	-	-	(470,400)	(470,400)
At end of period	98,000	34,929	5,678,264	-	5,811,193

The notes on pages 12 to 19 are an integral part of these consolidated and separate interim financial statements.

Separate statement of changes in equity

	Share capital Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total equity Shs'000
Period ended 30 June 2025					
At start of year	98,000	36,251	5,038,118	156,800	5,329,169
Total comprehensive income for the period:					
Profit for the period	-	-	295,538	-	295,538
Total	-	-	295,538	-	295,538
Transactions with owners:					
Dividends:					
- Final for 2024	-	-	-	(156,800)	(156,800)
	-	-	-	(156,800)	(156,800)
At end of period	98,000	36,251	5,333,656	-	5,467,907
Period ended 30 June 2024					
At start of year	98,000	34,929	5,326,612	470,400	5,929,941
Total comprehensive income for the period:					
Profit for the period	-	-	347,511	-	347,511
Total	-	-	347,511	-	347,511
Transactions with owners:					
Dividends:					
- Final for 2023	-	-	-	(470,400)	(470,400)
	-	-	-	(470,400)	(470,400)
At end of period	98,000	34,929	5,674,123	-	5,807,052

The notes on pages 12 to 19 are an integral part of these consolidated and separate interim financial statements.

Consolidated and separate statement of cash flows

	Notes	6 months to 30 June 2025 Shs'000	6 months to 30 June 2024 Shs'000
Operating activities			
Profit before income tax	14	435,245	507,092
Adjustment for non-cash items	14	(292,990)	(256,505)
Changes in working capital	14	(162,382)	(820,444)
Cash utilized by operations		(20,127)	(569,857)
Interest received	5	38,456	39,160
Income tax paid		(6,458)	(5,434)
Net cash utilized by operating activities		11,871	(536,131)
Investing activities			
Purchase of property, plant and equipment	9	(54,373)	(93,150)
Purchase and development of biological assets	10(i)	(13,590)	(14,741)
Proceeds from disposal of property, plant and equipment		360	-
Net cash (used in) investing activities		(67,603)	(107,891)
Financing activities			
Dividend paid		(156,800)	(470,400)
Lease payments		(61)	-
Net cash used in financing activities		(156,861)	(470,400)
Decrease in cash and cash equivalents		(212,593)	(1,114,422)
Movement in cash and cash equivalents			
At start of year		1,106,684	1,408,131
Decrease in cash and cash equivalents		(212,593)	(1,114,422)
Net exchange (losses) on foreign currency cash and cash equivalents	4	(3,798)	(163,332)
At end of period	11	890,293	130,377

The notes on pages 12 to 19 are an integral part of these consolidated and separate interim financial statements.

Notes

1. General information

Kakuzi Plc is incorporated in Kenya under the Kenyan Companies Act 2015 as a public limited liability company and is domiciled in Kenya.

2. Basis of preparation and changes to the Group's accounting policies

2.1 Basis of preparation

These interim financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). These interim financial statements are presented in the functional currency, Kenya Shillings (Shs), rounded to the nearest thousand, and prepared under the historical cost convention as modified by the carrying of biological assets and agricultural produce at fair values less costs to sell.

These unaudited interim consolidated and company financial statements have been prepared in accordance with IAS 34 *Interim Financial Reporting* and should be read in conjunction with the Group's last annual consolidated and company financial statements as at and for the year ended 31 December 2024 ('last annual financial statements'). Selected explanatory notes are included to explain events and transactions that are significant for an understanding of the changes in the Group's financial position and performance since the last annual financial statements. Where necessary, comparative figures have been adjusted to conform with presentation in the current year.

The Consolidated and Company statement of profit or loss and other comprehensive income are presented as one and the same since the subsidiaries are dormant and did not have any transactions during the period.

2.2 Use of judgements and estimates

In preparing these interim consolidated and company financial statements, the Directors have made judgments and estimates that affect the application of accounting policies and the reported amounts of assets and liabilities, and income and expenses. Although these estimates are based on the Directors' best knowledge of current events and actions, actual results may ultimately differ from these estimates.

The significant judgements made by the Directors in applying the Group's accounting policies and the key sources of estimation uncertainty were the same as those described in the last annual financial statements.

2.3 New standards, interpretations and amendments adopted by the Group.

The accounting policies adopted in the preparation of the interim consolidated and company financial statements are consistent with those followed in the preparation of the last annual financial statements, except for the adoption of new standards effective as of 1 January 2025. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Several amendments and interpretations apply for the first time in 2025, but do not have an impact on the interim condensed consolidated financial statements of the Group.

2.4 Costs that incur unevenly during the financial year are anticipated or deferred in the interim only if it would be also appropriate to anticipate or defer such costs at the end of the financial year.

2.5 Income tax expense is recognised based on the annual income tax rate expected for the full financial year. The annual tax rate used for 2025 is 30% (2024 was 30%).

Notes (continued)

2 Basis of preparation and changes to the Group's accounting policies (continued)

2.6 Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

3. Segmental reporting - Group

The Executive Directors are the operating decision makers of the Group. They make decisions based on the review of the operating segments reports.

The Group operates in two geographical areas in Kenya, Makuyu and Nandi Hills, and under several operating segments. The principal operating segments currently consist of Avocados and Macadamia whose reported sales are greater than 10% of combined sales of all operating segments and Tea and Forestry whose assets are more than 10% of combined assets of all operating segments. The business activities of livestock, joint projects and blueberries are included under "all other segments" as they relate to agricultural operations and do not meet any set criteria for individual reportable segments. There is no single customer whose revenue amounts to 10% or more of the Groups revenue.

The Group derives all revenues from contracts with customers for the transfer of goods at a point in time.

Segment assets consist primarily of property, plant and equipment, biological assets, inventories, receivables and prepayments. Unallocated assets are cash, financial assets, property, plant and equipment, and inventories relating to Main Office and Engineering Stores. Segmental liabilities consist primarily of payables and accrued expenses. Unallocated liabilities are taxes, payables, accrued expenses and non-current liabilities.

Notes (continued)

3. Segmental reporting (continued)

The segment information for the reportable segments for the six months period ended 30 June 2025 and 30 June 2024 is as follows:

	2025 Tea Shs'000	2024 Shs'000	2025 Avocados Shs'000	2024 Shs'000	2025 Macadamia Shs'000	2024 Shs'000	2025 Forestry Shs'000	2024 Shs'000	2025 All other segments Shs'000	2024 Shs'000	2025 Consolidated Shs'000	2024 Shs'000
Sales												
Sales to external customers	138,115	177,949	685,914	266,044	427,298	453,771	178,284	192,733	81,649	84,669	1,511,260	1,175,166
Comprising												
Major external customers sales	138,115	177,949	614,254	197,586	396,810	440,564	-	-	-	-	1,149,179	816,099
All other external customers sales	-	-	71,660	68,458	30,488	13,207	178,284	192,733	81,649	84,669	362,081	359,067
	138,115	177,949	685,914	266,044	427,298	453,771	178,284	192,733	81,649	84,669	1,511,260	1,175,166
Geographical analysis												
UK & Continental Europe	-	-	587,776	189,016	179,907	223,661	-	-	-	-	767,683	412,677
Kenya	138,115	177,949	71,660	72,068	30,488	13,207	178,284	192,733	81,649	84,669	500,196	540,626
Others	-	-	26,478	4,960	216,903	216,903	-	-	-	-	243,381	221,863
	138,115	177,949	685,914	266,044	427,298	453,771	178,284	192,733	81,649	84,669	1,511,260	1,175,166

Notes (continued)

3. Segmental reporting (continued)

	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Tea		Avocados		Macadamia		Forestry		All other segments		Consolidated	
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Profit/(loss)												
Gross profit/(loss) before depreciation and fair value changes in non-current biological assets and intersegmental purchases	(21,769)	2,032	693,469	1,095,428	390,466	114,958	46,058	76,289	(16,171)	(30,357)	1,092,053	1,258,350
Depreciation charge	(7,590)	(7,467)	(60,960)	(63,393)	(43,823)	(49,399)	(3,114)	(4,980)	(25,099)	(25,216)	(140,586)	(150,455)
Changes in fair value of non-current biological assets	-	-	-	-	-	-	-	-	25,582	21,509	25,582	21,509
Gross profit/(loss)	(29,359)	(5,435)	632,509	1,032,035	346,643	65,559	42,944	71,309	(15,688)	(34,064)	977,049	1,129,404
Selling and Distribution costs	-	-	(237,570)	(81,428)	(27,793)	(34,006)	-	-	(489)	-	(265,852)	(115,434)
Segment profit/(loss)	(29,359)	(5,435)	394,939	950,607	318,850	31,553	42,944	71,309	(16,177)	(34,064)	711,197	1,013,970
Other income	1,841	1,876	-	-	-	-	-	-	6,533	(175,218)	8,374	(173,342)
Interest and other income	-	-	-	-	-	-	-	-	38,456	39,160	38,456	39,160
Finance costs	-	-	-	-	-	-	-	-	(60)	(33)	(60)	(33)
Unallocated admin expenditure	-	-	-	-	-	-	-	-	(322,722)	(372,663)	(322,722)	(372,663)
Profit/(loss) before income tax	(27,518)	(3,559)	394,939	950,607	318,850	31,553	42,944	71,309	(293,970)	(542,818)	435,245	507,092
Income tax expense	8,833	1,120	(126,771)	(299,155)	(102,347)	(9,930)	(13,784)	(22,441)	94,362	170,825	(139,707)	(159,581)
Profit/(loss) for the period	(18,685)	(2,439)	268,168	651,452	216,503	21,623	29,160	48,868	(199,608)	(371,993)	295,538	347,511
Assets (all located in Kenya)												
Segment assets	385,309	323,713	2,210,966	3,254,062	1,761,078	1,927,863	1,046,420	862,077	868,364	905,404	6,272,137	7,273,119
Unallocated assets											916,243	299,789
											7188,380	7,572,908
Liabilities												
Segment liabilities	64,409	61,419	-	-	-	-	-	-	-	-	64,409	61,419
Unallocated liabilities											1,651,923	1,700,296
											1,716,332	1,761,715
Additions												
Property, plant and equipment	1,866	1,415	38,345	20,326	10,001	58,320	-	666	4,161	12,423	54,373	93,150
Biological assets	438	377	-	-	-	-	13,152	13,144	-	1,220	13,590	14,741
	2,304	1,792	38,345	20,326	10,001	58,320	13,152	13,810	4,161	13,643	67,963	107,891

Notes (continued)

	6 months to 30 June 2025 Shs'000	6 months to 30 June 2024 Shs'000
4. Other income/(losses) – Group and company		
Net foreign exchange gains/(losses) other than cash and cash equivalents	1,771	(24,544)
Net exchange (losses) on foreign currency cash and cash equivalents	(3,798)	(163,332)
Profit/(loss) on disposal of property, plant and equipment	320	(165)
Rental income	3,581	3,117
Avocado and macadamia seedling sales	4,226	9,295
Sundry	2,274	2,287
	<u>8,374</u>	<u>(173,342)</u>
5. Interest income and finance income/(costs) – Group and company		
Interest income		
Interest income on short term bank deposits	38,456	32,910
Interest income on infrastructure bonds	-	6,250
	<u>38,456</u>	<u>39,160</u>
Finance income/(costs)		
Interest on lease liabilities	(60)	(33)
	<u>(60)</u>	<u>(33)</u>
Net finance costs	<u>(60)</u>	<u>(33)</u>
6. Income tax – Group and company		
Income tax expense is recognised based on the annual income tax rate expected for the full financial year. The annual tax rate used for 2025 is 30% (2024: 30%).		
Current income tax expense	(118,360)	(226,803)
Deferred income tax credit/(expense)	(21,347)	67,222
Income tax expense	<u>(139,707)</u>	<u>(159,581)</u>
7. Basic and diluted earnings per ordinary share		
Basic and diluted earnings per ordinary share are calculated on the profit attributable to the members of Kakuzi Plc and on the 19,599,999 ordinary shares in issue at 30 June 2025 and 30 June 2024.		
The Company had no potentially dilutive ordinary shares outstanding at 30 June 2025 or 30 June 2024.		
8. Dividend		
The directors do not recommend the payment of an interim dividend (2024: Nil).		

Notes (continued)

9. Capital expenditure – Group and Company

	30 June 2025 Shs'000	30 June 2024 Shs'000
Property, plant and equipment		
Opening net book value – 1 January	2,981,247	3,064,961
Capital expenditure – additions	54,373	93,150
Disposals	(40)	(165)
Depreciation	(140,586)	(150,455)
Closing net book value – 30 June	<u>2,894,994</u>	<u>3,007,491</u>

10. Biological assets – Group and Company

(i) Non-current biological assets

Changes in carrying amounts of non-current biological assets comprise: -

	Livestock Shs'000	Group Plantations Shs'000	Total Shs'000
Period ended 30 June 2025			
At 1 January 2025	208,062	910,900	1,118,962
Increase due to purchases and development	-	13,590	13,590
Gain arising from changes in fair value less costs to sell	25,579	-	25,579
Decrease due to harvest and sales	(25,578)	(29,665)	(55,243)
At 30 June 2025	<u>208,063</u>	<u>894,825</u>	<u>1,102,888</u>
Period ended 30 June 2024			
At 1 January 2024	168,424	766,800	935,224
Increase due to purchases and development	1,220	13,521	14,741
Gain arising from changes in fair value less costs to sell	21,509	-	21,509
Decrease due to harvest and sales	(23,379)	(25,335)	(48,714)
At 30 June 2024	<u>167,774</u>	<u>754,986</u>	<u>922,760</u>

(ii) Current biological assets i.e. growing agricultural produce

Growing agricultural produce on bearer plants as at the reporting date

	30 June 2025 Shs'000	30 June 2024 Shs'000
Avocado	717,332	1,094,511
Macadamia	243,062	259,071
Blueberries	5,471	3,319
Tea	1,827	2,170
	<u>967,692</u>	<u>1,359,071</u>

The gain arising from changes in fair value of the growing agricultural produce on bearer plants is included within cost of production.

Notes (continued)

11. Cash and cash equivalents – Group and Company

For the purposes of the statement of cash flows, cash and cash equivalents comprise the following: -

	30 June 2025 Shs'000	30 June 2024 Shs'000
Cash at bank and in hand	134,671	65,753
Short term deposits	755,622	64,624
	890,293	130,377

12. Financial assets held at amortised cost – Group and Company

	30 June 2025 Shs'000	30 June 2024 Shs'000
At start of the year	-	100,000
At end of period	-	100,000
Current portion	-	100,000
	-	100,000

13. Capital commitments – Group and Company

	30 June 2025 Shs'000	30 June 2024 Shs'000
Capital expenditure contracted for at the statement of financial position date but not recognised in the consolidated interim financial statements is as follows: -		
Property, plant and equipment	2,642	35,778
	2,642	35,778

Notes (continued)

14. Cash generated from operations – Group and Company

Reconciliation of profit before income tax to cash generated from operations:

	Notes	6 months to 30 June 2025 Shs'000	6 months to 30 June 2024 Shs'000
Profit before income tax		435,245	507,092
Adjustments for non-cash items			
Interest income	5	(38,456)	(39,160)
Net exchange losses on foreign currency cash and cash equivalents	4	3,798	163,332
Depreciation	9	140,585	150,455
Profit/loss on sale of property, plant and equipment		(320)	165
Depreciation of right of use assets		98	50
Interest costs on adoption of IFRS 16	5	60	33
Gain arising from changes in fair value less cost to sell of non-current biological assets	10(i)	(25,579)	(21,509)
Decrease in fair value of biological assets due to sales and harvest and disposal	10(i)	55,243	48,713
Fair value movement in biological assets – growing agricultural produce		(428,420)	(558,584)
		(292,991)	(256,505)
Changes in working capital:			
- Increase in inventories (including fair value movement in biological assets)		(448,294)	(855,339)
- Decrease in receivables and prepayments		203,785	36,970
- Decrease/Increase in payables and accrued expenses		67,576	(11,298)
- Increase in post-employment benefit obligations		14,551	9,223
		(162,382)	(820,444)
Cash utilised by operations		(20,127)	(569,857)

-----000-----